

Busted trade. Busted patterns can be a profitable endeavor if traded properly. They can outperform their non-busted brothers and sisters. See [Table 54.9](#) for guidance.

Quick rise, decline. The Sample Trade describes this scenario. It's rare that this happens, but it *does* happen. You'll see this not only in roof patterns but diamonds and other chart patterns as well.

There's an old saying that goes, "I may be paranoid, but how do you know they're not after me?" By that, I mean just because price makes a straight-line run up to a stock you own and it shows a reversal pattern is no reason to believe a straight-line run back down will follow a downward breakout. It might, but I've been burned selling too soon, anticipating an event that rarely happens.

Sample Trade

[Figure 54.4](#) shows what a quick rise, quick decline looks like. I don't discuss a sample trade, but rather something that may happen to you.

The inverted roof is at A. Let's discuss the measure rule first. The top of the pattern is at 83.26 and the bottom is at 77.01 for a height of 6.25. The breakout price is the price at which the stock crosses the trendline boundary. In this example, that's 81.53.

If a breakout has not occurred yet, then use the top of the pattern (for an upward breakout) or guess where it might pierce the pattern for a downward breakout. Accuracy isn't important because the measure rule gives a number that will often be inaccurate anyway. However, it's worth running the calculation if only to pat me on the back for providing the statistics on how often price will reach the measure rule target.

For upward breakouts, add the height to the breakout price. In this example, that would be $6.25 + 81.53$ or 87.78. That uses the full height. [Table 54.10](#) says price will reach the target 65% of the time on average. If you want a closer target, divide the height in half and add it to the breakout price. The stock should reach the target 79% of the time, if you trade it often enough and well enough.